

sified real estate portfolio at a low entry cost,” says Rastogi.

Incidentally, whenever capital markets are discussed, a bulk of the chatter revolves around the equity segment as it has a direct relation with the average retail investor of the country. However, debt is a huge segment too, especially from a product spread point of view, although it is yet to take off in India from a retail perspective.

“We don’t have a very active debt market in India. That is one thing that can change in a very big way. Moreover, having a deeper options market to hedge long-dated options is important, as options trading can

Kamath would know as he is a part of a growing tribe of young and tech-focussed community of market participants that has tonnes of data analytics at its disposal to understand the investor’s mind.

Algorithmic trading—simply called algos in market parlance—refers to automated trading done on the basis of a pre-defined set of parameters using a software code. The orders get executed without any human intervention if the pre-defined parameters are hit.

While algos have cornered a huge market share in many of the more developed equity markets across the globe, such automated trading is fast

HNI, in the country—especially those based in non-metro towns.

According to Jeswani, the total assets under management (AUM) of the PMS industry is expected to grow 20-30 times in the coming two and a half decades, even though it will cover only a small proportion of the population given its minimum ticket size of ₹50 lakh.

“The total number of discretionary PMS folios in India are just 130,000 and we believe this should be at least 1 million by 2047. The total AUM of discretionary PMS was just ₹2.65 lakh crore in FY22 even though it has grown six times in the last seven years,” says Jeswani,

The last decade or so has seen tech disrupt many aspects of trading and investing. The coming decades are expected to further ride on the tech bandwagon with trading apps becoming smarter and feature-rich

be an effective tool for managing portfolio risk and exposure. The availability of longer-dated options contracts can be particularly beneficial for investors with a long-term investment horizon,” says Stallion Asset’s Jeswani, who also stresses on the point that a deeper options market could be the biggest change in the next 25 years from a risk management point of view.

Another area that is largely estimated to become a major element is algos. “Algos will definitely be more widely adopted by retail investors as a part of their overall portfolio; it will, however, require continued and evolving regulations to ensure safeguards for retail allocation,” says Kamath of Smallcase.

gaining popularity in India as well, with many participants estimating that in the coming decades, algos would further cement their place in the trading arena.

BSE data, too, shows that the share of non-algo trades has come down to around 26 per cent in December 2022 from as high as around 74 per cent in December 2012. In the US, it is estimated that algos contribute around 80 per cent of the total trading turnover.

Another area of focus in the next 25 years is likely to be that of PMS, as the number of rich individuals in the country grows.

Recent wealth studies have already highlighted the growing tribe of high net-worth individuals, or

whose PMS firm had a total AUM of ₹600 crore as of December 31, 2022.

MEANWHILE, THE ADVISORY business is seeing a sea change in its landscape. With the help of technology, it is expected to be completely transformed in the coming decades. For instance, robo-advisory has already created a place for itself, though it is believed that the human element can never go out of fashion.

“Technology can be an enabler but the problem in today’s world is that everyone thinks that technology is the solution to all the problems of our lives. It isn’t. Technology is not a magic pill,” says Nithin Ka-